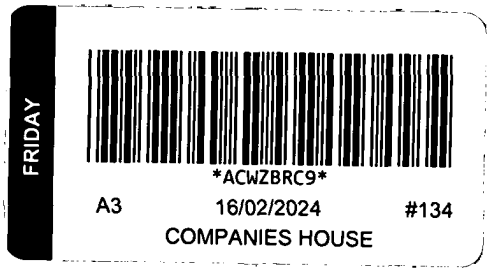
Company Registration Number 00060094



Queens Park Rangers Football & Athletic Club, Limited, (The)

Financial Statements

31 May 2023

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The board of directors	Mr A Bhatia Mr R Gnanalingam Mr R Reilly Mr L Hoos
Registered office	Matrade Loftus Road Stadium South Africa Road London W12 7PJ
Auditor	BDO LLP Chartered Accountants Statutory Auditor 55 Baker Street London W1U 7EU
Bankers	The Royal Bank of Scotland PLC 155 Bishopsgate London EC2M 3YB Metro Bank One Southampton Row London WC1B 5HA

Principal activity
The principal activity of the Company is the provision of professional football teams.

Business Review
The results for the year are summarised below:

- Company turnover was £34.3m, compared to £36.4m in the previous year, this is due to reduction in the management fee charged to QPR Holdings Limited.
- Company operating loss prior to playing trading was £458k, compared to a £691k profit in the prior year, again this is due to a reduction in the management fee charged.
- At the reporting date the Company had bank reserves of £153k, compared to £305k in the prior year.
- At the reporting date the Company's deficit position was £2.3m, compared to £2.6m in the prior year.

Risks and uncertainties
There are a number of potential risks and uncertainties that could have a material impact on the Company's long-term performance. These risks and uncertainties are monitored by the Board on a regular basis and the Board remains confident that the Company has sufficient financial backing to manage these issues.

Football
The Company's income will always be directly affected by the performance of the first team and the Club's league status. The level of attendance may be influenced by factors such as the success of the team, ticket prices, broadcast coverage and the general economic climate.

The performance of the playing squad, as well as the football management staff, is hugely important to the Club, which maintains its strategy of trying to retain the highest quality playing and management staff. The Club operates in a highly competitive market for talent and the market rates for transfers and wages is, to a varying degree, dictated by competitors and the Company recognises the significance of this in relation to the desire to maintain the strength of the first team.

The Club is regulated by the rules of the various governing bodies and any change to these rules could have an impact on the Company. The Club monitors its compliance with all applicable rules and considers the impact of any changes.

Commercial
The Company derives income from broadcasting rights and management charges. Broadcasting and certain other revenues are derived from contracts that are currently centrally negotiated by the Premier League and Football League; the Company does not have any influence on the outcome of the relevant contract negotiations. The management charge is in relation to managing the football team and its activities.

Future Developments
The short-term objective is to be competitive in the Championship and target a play-off place. The Board's primary aim is also to implement the strategic plans to ensure that the Club is self-sustainable in the near future.

Going Concern
The Company's business activities, together with the factors likely to affect its future development and performance are set out above. The financial position of the group, its cash flows, liquidity position and borrowings are described in these financial statements.

The Company is dependent on the continued support of its significant shareholders, Total Soccer Growth Sdn Bhd, QPR Newco LLC and Sea Dream Limited in order to remain a going concern. These shareholders have confirmed under deed that they will continue to provide financial support to the Group for at least a period until 31 May 2025, in order for the Group to be able to meet its liabilities as they fall due. The directors have considered the Group's financial position, forecast cashflow and the availability of financial support from its significant shareholders and consider that it is appropriate to the prepare the financial statements on a going concern basis.

Financial risk management objectives and policies
Financial instruments are used for financing purposes only. It is Company policy not to trade in financial instruments. The board of directors sets out the financial risk management policies that are implemented by the finance department. The Board considers that financial risks do not pose a major threat to the Company.

Ruben Gnanalingam
Director
Approved by the directors on 8 February 2024

The directors have pleasure in presenting their report and the audited financial statements of the Company for the year ended 31 May 2023.

Results and dividends
The profit for the year amounted to £243,000 (2022: £278,000). The directors have not recommended a dividend.

Directors
The directors who served the Company during the year were as follows:
Mr T Fernandes Resigned 8th July 2023
Mr R Gnanalingam
Mr A Bhatia
Mr R Reilly

Directors' responsibilities
The directors are responsible for preparing the strategic report, the Directors report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under Company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss for that year.

In preparing those financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Directors' indemnities
The Company maintains directors' and officers' liability insurance providing appropriate cover for any legal action brought against its Directors.

Strategic Report
The risk management policy and going concern considerations are located in the strategic report on page 2.

Post reporting date events
The details of these are included in note 19 to the financial statements.

Auditor
BDO LLP are deemed to be re-appointed under section 487(2) of the Companies Act 2006.

Insofar as the directors are aware:

- there is no relevant audit information of which the Company auditor is unaware; and

- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditor is aware of that information.

Signed on behalf of the directors

Ruben Gnanalingam
Director
Approved by the directors on 8 February 2024

Opinion on the financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 May 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements of Queens Park Rangers Football & Athletic Club, Limited, (The) ("the Company") for the year ended 31 May 2023 which comprise the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the Directors report and financial statements, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies Act 2006 reporting

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors
As explained more fully in the Directors' responsibilities, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including *fraud*

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

Non-compliance with laws and regulations

Based on:
- Our understanding of the Company and the industry in which it operates;
- Discussion with management and those charged with governance
- Obtaining and understanding of the Company's policies and procedures regarding; and compliance with laws and regulations

we considered the significant laws and regulations to be the applicable accounting framework and UK tax legislation.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations.

Our procedures in respect of the above included:
- making enquiries of management and reviewing minutes of the board of Directors in order to identify any instances of fraud or non-compliance with laws and regulations;
- Review of correspondence with tax authorities for any instances of non-compliance with laws and regulations;
- Review of financial statement disclosures and agreeing to supporting documentation;
- Involvement of tax specialists in the audit; and
- Review of legal expenditure accounts to understand the nature of expenditure incurred.

Fraud
We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:
- Enquiry with management and those charged with governance regarding any known or suspected instances of fraud;

- Obtaining an understanding of the Company's policies and procedures relating to:
  - Detecting and responding to the risks of fraud; and
  - Internal controls established to mitigate risks related to fraud.
- Review of minutes of meeting of those charged with governance for any known or suspected instances of fraud;
- Discussion amongst the engagement team as to how and where fraud might occur in the financial statements;
- Performing analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud; and
- Considering remuneration incentive schemes and performance targets and the related financial statement areas impacted by these.

Based on our risk assessment, we considered the areas most susceptible to fraud to be management override of controls and Revenue.

Our procedures in respect of the above included:
- Identifying and testing journal entries to supporting documentation, in particular any journal entries to revenue not in line with expectations and reviewing journal entries for journals inconsistent with the usual transactions of the Company.
- agreeing a sample of revenue to underlying contracts and/or other third-party documentation to ensure they are recorded at the correct time and to the correct amount
- agreeing a sample of revenues to cash receipts
- reviewed transactions pre and post year end to check that the associated revenue is reflected in the correct period.
- identifying and tested material manual journal entries to revenue
- Assessing significant estimates made by management for bias or judgement that represented a risk of material misstatement due to fraud. In particular we have considered in respect of revenue recognition, including accrued and deferred revenue, and recoverability of trade and other receivable.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

DocuSigned by:
Gareth M Jones
AF9E71C52330451...
Gareth M Jones (Senior Statutory Auditor)
For and on behalf of BDO LLP, Statutory Auditor
London, UK
9 February 2024

BDO LLP is a limited liability partnership registered in England and Wales (with registered number OC305127).

Queens Park Rangers Football & Athletic Club, Limited, (The)

Statement of comprehensive income

Year ended 31 May 2023

	Note	2023 £'000	2022 £'000
Revenue	2	**34,339**	36,364
Cost of sales		**(34,797)**	(35,673)
Gross (loss)/profit		**(458)**	691
Operating (loss)/profit	3	**(458)**	691
Profit on disposal of player registrations	6	**1,049**	221
		591	912
Finance income	7	**-**	186
Finance costs and similar charges	7	**(348)**	(820)
Profit on ordinary activities before taxation		**243**	278
Tax	8	**-**	-
Profit for the financial year and total comprehensive income		**243**	278

All of the activities of the Company are classed as continuing.

The Company has no recognised gains or losses other than the results for the year set out above.

The notes on pages 10 to 17 form part of these financial statements.

Queens Park Rangers Football & Athletic Club, Limited, (The)

Statement of financial position

As at 31 May 2023

	Note	2023 £'000	2022 £'000
Intangible fixed assets	9	**2,270**	6,186
Current assets			
Trade and other receivables	10	**11,167**	13,034
Cash and cash equivalents		**153**	305
		11,320	13,339
Current liabilities	11	**(8,869)**	(10,789)
Net current assets		**2,451**	2,550
Total assets less current liabilities		**4,721**	8,736
Non-current liabilities	12	**(7,036)**	(11,294)
		(2,315)	(2,558)
Capital and reserves			
Share capital	15	**270**	270
Share premium account		**295**	295
Capital redemption reserve		**30**	30
Profit and loss account		**(2,910)**	(3,153)
Net shareholder funds		**(2,315)**	(2,588)

These financial statements were approved by the directors, authorised for issue, and are signed on their behalf by:



.....

Ruben Gnanalingam
Director
8 February 2024

Company Registration Number: 00060094

The notes on pages 10 to 17 form part of these financial statements.

Queens Park Rangers Football & Athletic Club, Limited, (The)

Statement of changes in equity

Year ended 31 May 2023

	Share capital £'000	Share premium £'000	Capital redemption reserve £'000	Profit and loss account £'000	Total £'000
Equity shareholders' funds as at 1 June 2021	270	295	30	(3,431)	**(2,836)**
Profit and total comprehensive income for the year	-	-	-	278	**278**
Equity shareholders' funds as at 31 May 2022	270	295	30	(3,153)	**(2,558)**
Profit and total comprehensive income for the year	-	-	-	243	**243**
Equity shareholders' funds as at 31 May 2023	**270**	**295**	**30**	**(2,910)**	**(2,315)**

The notes on pages 10 to 17 form part of these financial statements.

1. Accounting policies

a) Statement of compliance

Queens Park Rangers Football & Athletic Club, Limited, (The) is a private Company limited by shares and a wholly owned subsidiary of QPR Holdings Limited, incorporated in England and Wales, No: 00060094. The Registered Office is Matrade Loftus Road Stadium, South Africa Road, London, W12 7PJ.

b) Basis of accounting

The financial statements have been prepared in accordance with Financial Reporting Standard 102 as issued by the Financial Reporting Council. The financial statements have been prepared on the historical cost basis. The principal accounting policies that have been applied consistently by the Company to all periods presented in these financial statements are set out below. The financial statements are prepared in sterling, rounded to the nearest thousand, which is the functional currency of the entity.

The preparation of financial statements in conformity with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the accounting policies selected for use by the Company. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed below. Use of available information and application of judgement are inherent in the formation of estimates. Actual outcomes in the future could differ from such estimates.

c) Going concern

The directors, based on cash flow projections prepared by management and through confirmation of continuing support from the parent company via the groups' main shareholders and creditors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. The groups' main shareholders have confirmed under a deed of support to provide loan facilities of up to £39.4m to the group covering the financial needs over the period ending 31 May 2025.

d) Disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirement of section 11 Financial instruments
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the accounts of QPR Holdings Limited whose consolidated financial statements are publicly available and in whose financial statements the Company is consolidated. The location from which the financial statements are available is shown in note 14.

e) Revenue

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable in the normal course of business. Revenue comprises the management fees charged from the parent Company and income in respect of the broadcasting rights earned. Other income relates to other football realted activities.

f) Player costs and transactions

(i) *Initial capitalisation*

The costs associated with the acquisition of player registrations are capitalised as intangible fixed assets. Any intangible assets acquired on deferred terms are recorded at the fair value at the date of acquisition. The fair value represents the net present value of the costs of acquiring player registrations.

(ii) *Amortisation*

These costs are fully amortised on a straight-line basis in equal annual instalments over the period of the respective contracts.

(iii) *Contingent consideration*

Under the conditions of certain transfer agreements, further fees will be payable to the vendors in the event of the players concerned making a certain number of First Team appearances. Liabilities in respect of these additional transfers are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

1. **Accounting policies *(continued)***

(iv) ***Impairment***
The company will perform an impairment review on the intangible assets if events or changes in circumstances indicate that the carrying amount of the player may not be recoverable. The company compares the carrying amount of the asset with its recoverable amount. The company does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own.

Furthermore, the Company also considers that all of the players are unable to generate cash flows even when considered together. Accordingly, the Company, and the group, considers the smallest cash-generating unit to contain all the other First Team players, the Stadium and the training facilities.

The Company calculates the value in use of this cash-generating unit by discounting estimated expected future cash flows (being the pre-player trading cash flows generated by the Company's existing operations and any future capital expenditure on the First Team squad). The Company compares this with its assessment of the fair value less costs to sell off all of the First Team players and the higher of these two numbers is deemed to be the recoverable amount.

In certain rare instances there may be an individual player whom the Company does not consider to be part of the First Team squad and who will therefore not contribute to the future cash flows earned by the cash-generating unit. This is normally due to a permanent career-threatening injury/condition or due to a serious and permanent fall out with the senior football management and Directors which, as a consequence, means the Company consider it highly unlikely he will ever play for the First Team again. In this situation, the carrying value of the player is removed from the carrying value of players assessed as part of the cash-generating unit referred to above and instead this player will be assessed for impairment in isolation by considering his carrying value with the Company's best estimate of his fair value less costs to sell. The Company estimate this using one of the following sources

- in the case of a player who has permanently fallen out with the senior football management and directors, either the agreed selling price in the event the player has been transferred subsequent to the year-end; or
- If there have not been any bids for the player, management's best estimation of the disposal proceeds (less costs) of the player on an arm's length basis. This is determined by the senior football management in conjunction with the Directors who will use the outcome of recent player disposals (by both the Company and other football clubs) as a basis for their estimation. Any costs to sell, such as agency costs are deducted from the fair value; or
- in the case of a player who has suffered a career-threatening injury/condition, the value attributed to the player by the Company's insurers.

(v) ***Disposals***
Profits or losses on the disposal of these registrations represent the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

(vi) ***Remuneration***
Remuneration of players is charged in accordance with the terms of the applicable contractual agreements and any discretionary bonus when there is a legal or contractual obligation. Liabilities in respect of player loyalty fees are provided for, as part of operating expenses, when payment becomes probable as the player is contracted to the football club and the loyalty fee is payable prior to the next transfer window at the date the accounts are signed.

g) **Finance costs**
Finance costs on all borrowings except those that are directly attributable to the acquisition, construction or production of a qualifying asset are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash flows through the expected life of the borrowings.

For qualifying assets if the borrowed funds are specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalisation as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. If obtained via general borrowings, then the amount capitalised is determined by applying the applicable capitalisation rate for the period. The capitalisation rate used in the period shall be the weighted average of rates applicable to the Group's general borrowings that are outstanding during the period.

Any intangible asset disposed of on deferred terms will be initially recorded at the discounted present value of future receipts and the receivable is then increased to the settlement value over the period of deferral with this value being charged as notional finance income to profit or loss.

1. **Accounting policies *(continued)***

h) **Financial instruments**
Financial instruments are classified and accounted for, according to the substance of the contractual arrangement, as either financial assets, financial liabilities or equity instruments. An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities.

i) **Foreign exchange**
Transactions denominated in foreign currencies are translated into Sterling and recorded at the rates of exchange ruling at the date of the transactions. Translation differences are dealt with in profit and loss.

j) **Pension costs**
The Company operates a defend contribution pension scheme for employees. The assets of the scheme are held separately from those of the Company. The annual contributions payable are charged to profit or loss.

k) **Deferred taxation**
Deferred tax is recognised in respect of all material timing differences that have originated but not reversed at the reporting date where transactions or events have occurred at that date that will result in an obligation to pay more, or a right to pay less or to receive more tax. Deferred tax is measured on an undiscounted basis at the tax rates that are expected to apply in the periods in which timing differences reverse, based on tax rates and laws enacted or substantively enacted at the reporting date. Deferred tax assets are recognised to the extent that it is regarded more likely than not that they will be recovered.

l) **Critical accounting judgements and estimates**
In the application of the Company's accounting policies, which are described herein, the directors are required to make judgements, estimates and assumptions about the carrying value of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates. The principal balances in the financial statements where changes in estimates and assumptions may have a material impact are:

(i) ***Recoverable amount of non-current assets***
All non-current assets, including player registrations, are reviewed for potential impairment using estimates of the future economic benefits attributable to them. Such estimates involve assumptions in relation to on pitch performance. Any estimates of future economic benefits made in relation to non-current assets may differ from the benefits that ultimately arise, and materially affect, the recoverable value of the asset.

2. **Revenue**

The revenue and profit before tax are attributable to the one principal activity of the Company and all revenue is derived in the UK.

	2023	2022
	£'000	£'000
Broadcasting rights	**8,282**	7,934
Management charge	**24,500**	28,147
Other income	**1,557**	283
	34,339	36,364

3. **Operating profit/(loss)**

This is stated after charging the following:

	2023	2022
	£'000	£'000
Amortisation of intangible assets	**3,059**	3,552

Auditors' remuneration is dealt with in the financial statements of the parent Company.

4. Particulars of employees

The average number of staff, including directors, employed by the Company during the financial year can be analysed as follows:

	2023 No.	2022 No.
Players, managers and coaches	**129**	136
Support staff	**16**	14
	145	150

The aggregate payroll costs of the above were:

	2023 £'000	2022 £'000
Wages and salaries	**19,668**	21,762
Social security costs	**2,626**	2,888
Other pension costs	**142**	132
	22,436	24,782

Key management compensation:

	2023 £'000	2022 £'000
Wages and salaries	**1,193**	1,670
Other pension costs	**1**	2

5. Remuneration of directors

No remuneration or benefits were paid to directors during the year (2022: £Nil)

6. Profit on disposal of players registrations

	2023 £'000	2022 £'000
Profit on disposal of players' registrations	**1,049**	221

7. Finance Income and costs

	2023 £'000	2022 £'000
Finance income		
- Amortised cost credit - EFL loans	**-**	186
	-	186
Finance costs and similar charges		
- Amortised cost charge - FFP settlement	**(174)**	(676)
- Amortised cost charge - EFL loans	**(174)**	(141)
- Amortised cost charge - Football creditor greater than one year	**-**	(3)
	(348)	(820)

8. Taxation on ordinary activities

(a) Analysis of charge in the year

	2023 £'000	2022 £'000
Current tax		
UK Corporation tax based on the results for the year (note 8(b))	-	-

(b) Factors affecting current tax charge

The tax assessed for the period is lower than the standard rate of corporation tax in the UK, the differences are explained below:

	2023 £'000	2022 £'000
Profit on ordinary activities before taxation	**243**	278
Profit on ordinary activities multiplied by standard rate of tax of 20% (2022 - 19%)	**49**	53
Short term timing differences	**(8)**	(32)
Relieved tax losses	**(41)**	(21)
Total current tax (note 8(a))	-	-

It was substantively enacted on 24 May 2021 that the main rate of corporation tax will increase from 19% to 25% from 1 April 2023. For profits up to £50,000, the corporation tax rate will remain at 19% and for profits over £250,000, the corporation rate will be 25%. Marginal relief provisions will be introduced for profits between the lower and upper limits.

Tax losses carried forward at the reporting date were £14.3m (2022: £14.5m) relating to trading losses. A deferred tax assets has not been recognised in the accounts as there is insufficient evidence that the asset will be recoverable. The unprovided deferred tax asset is calculated at £3.6m (2022: £3.6m).

9. Intangible fixed assets

	Player registrations £'000
Cost	
At 1 June 2022	11,155
Additions	-
Disposals	(2,727)
At 31 May 2023	8,428
Amortisation	
At 1 June 2022	4,969
Charge for the year	3,059
On disposals	(1,870)
At 31 May 2023	6,158
Net book value	
At 31 May 2023	**2,270**
At 31 May 2022	6,186

Amortisation charges are included within the statement of comprehensive income under cost of sales.

The Company has chosen not to disclose carrying amounts for individual players, the average remaining amortisation period for the current players is 11 months.

10. Trade and other receivables

	2023 £'000	2022 £'000
Trade receivables	**800**	-
Player registration transfer receivables	**872**	132
Amounts owed by group undertakings	**8,522**	12,388
Prepayments and accrued income	**973**	514
	11,167	13,034

Amounts owed by group undertakings are unsecured, interest free and repayable on demand.

11. Current liabilities

	2023 £'000	2022 £'000
Player registration transfer payables	**217**	2,158
Taxation and social security	**767**	945
FFP settlement	**1,700**	1,700
EFL loans	**2,978**	3,055
Accruals and deferred income	**3,207**	2,931
	8,869	10,789

12. Non-current liabilities

	2023 £'000	2022 £'000
FFP Settlement	**8,500**	10,200
FFP Settlement – Discounting adjustment	**(1,464)**	(1,638)
EFL loans	**-**	2,978
EFL loans - Discounting adjustment	**-**	(246)
	7,036	11,294

The FFP settlement is recorded at an amortised cost basis, discounted from a £10,200,000 full value (2022: £11,900,000), £1,700,000 falls due within one year and is shown within note 11, the remainder is payable over a set number of years as agreed with the English Football League (EFL).

The EFL loans are shown at an amortised cost basis, £2,978,000 (2022: £6,033,000) which falls due within one year and is shown within note 14. The loans are unsecured, carry no interest and are due to be fully settled by April 2024.

Both the FFP settlement and EFL loans have been discounted using the Company's cost of capital, currently 10%.

13. Related parties

In accordance with the exemption permitted by Financial Reporting Standard 102, Section 33 "Related Party Disclosures", transactions with other group undertakings have not been disclosed in these financial statements.

14. Ultimate Controlling Party

The immediate parent Company is QPR Holdings Limited, a Company registered in England and Wales, and is the smallest consolidated accounts within which the Company is included. Copies of these group accounts are available from its head office Matrade Loftus Road Stadium, South Africa Road, London W12 7PJ. The ultimate parent Company is Total Soccer Growth Holdings Ltd, a Company incorporated in Malaysia, and is the largest consolidated accounts within which the Company is included. These consolidated accounts are available to the public and may be obtained from the Company registrar.

The ownership of QPR Holdings Limited on 31 May 2023 was as follows

- 51.61% Total Soccer Growth Holdings Limited, the ultimate owner of which is Ruben Gnanalingam
- 25.07% QPR Asia Sdn. Bhd., the ultimate owners of which are Tony Fernandes, Kamarudin Meranun
- 12.58% QPR Newco LLC, the ultimate owner of which is Richard Reilly
- 10.58% Sea Dream Ltd., the ultimate owners of which are the L.N.Mittal Family
- 0.16% variety of minority shareholders

Since the year end there has been changes to the ownership structure as detailed in Note 24 of the QPR Holdings Limited financial statements.

15. Share capital

Allotted and called up:

	2023		2022	
	No	**£'000**	No	£'000
Ordinary shares of £0.50 each	**540,600**	**270**	540,600	270

16. Reserves

Share premium account - This reserve records the amount above the nominal value received for shares sold, less transaction costs. Profit and loss account - This reserve records retained earnings and accumulated gains. Capital redemption reserve - This is a non-distributable reserve and represents paid up share capital.

17. Financial instruments

Capital risk management

The Company manages its capital to ensure that the entity will be able to continue as a going concern through the optimisation of the debt and equity balance. The Directors' consideration of the going concern is detailed in the Strategic Report.

The main purpose of financial instruments listed below is to finance the Company's operations. The Company has other financial assets and liabilities, which arise directly from its operations and its transactions with the holding Company which are not included below.

Categories of financial instruments

	2023	2022
	£'000	£'000
Financial Assets		
- Cash and cash equivalent	**153**	305
- Player registration transfer receivables	**872**	132
- Trade receivables	**800**	-
- Amounts owed by group undertakings	**8,522**	12,388
	10,347	12,825
Financial Liabilities		
- Player registration transfer payables	**217**	2,158
- FFP settlement	**8,736**	10,262
- EFL loans	**2,978**	5,787
	11,931	**18,207**

The above financial assets and financial liabilities do not include prepayments and accruals respectively.

17. Financial instruments (continued)

Financial risk management objectives and policies
Management monitor and manage the financials risks relating to the operations of the Company through internal controls. These risks include credit risk and liquidity risk.

Credit risk
Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. The maximum risk exposure relates to football debtors but this is mitigated by the governing body of the respective association.

Liquidity risk
Ultimate responsibility for liquidity risk management rests with the Directors. The Directors use management information tools including budgets and cash flow forecasts to be able to constantly monitor and manage current and future liquidity.

18. Payables - capital instruments

The maturity profile of the company's total borrowings at the reporting date which are carried at amortised cost are as follows:

	2023			2022		
	Principal	**Interest**	**Total**	Principal	Interest	Total
	£'000	**£'000**	**£'000**	£'000	£'000	£'000
In one year or less or on demand	**4,195**	**483**	**4,678**	4,024	731	4,755
In more than one year but not more than five years	**5,819**	**981**	**6,800**	8,729	1,049	9,778
In more than five years	**1,700**	**-**	**1,700**	3,296	104	3,400
	11,714	**1,464**	**13,178**	16,049	1,884	17,933

19. Post reporting date events

During the 2023 summer transfer window we secured Paul Smith, Asmir Begovic, Jack Colback, Steve Cook, Morgan Fox and Taylor Richards on permanent transfers, the latter of which had been on loan to us since July 2022. Reggie Cannon joined in September 2023.

In addition, Seny Dieng transferred to Middlesbrough and Robert Dickie to Bristol City. Nicholas Hamalainen and Stefan Johansen's contracts were terminated by mutual consent. Odysseus Alfa, Luke Amos, Leon Balogun, Christopher Martin, Conor Masterson, Charlie Owens and Olamide Shodipo departed due to their contracts expiring.

The net impact of post year end player trading is a £1,775,000 inflow (2022: Nil).

Head coach Marti Cifuentes and first team coach Xavier Calm joined QPR on the 30th of October 2023 after Head coach Gareth Ainsworth and first team coach Richard Dobson left by mutual consent on the 28th of October 2023.

On 12 January 2024 Christian Nourry replaced Lee Hoos as CEO, Lee remains in his position as Chairman of QPR Holdings Ltd.